Question # 1 of 10 (Start time: 12:32:00 AM, 30 December 2025)

Keeping in mind the concept of market portfolio, which of the following statement is false?

Select the correct option

- (●) The market portfolio lies on the capital market line
- ( ) The market portfolio includes all risky assets in the world
- ( ) The market portfolio lies on the security market line
- ( ) The market portfolio contains both systematic and unsystematic risk

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MGT201 - Financial Management (Quiz 2)

Question # 2 of 10 (Start time: 12:32:27 AM, 30 December 2025)

Which of the following is correct formula for contribution margin ratio?

Select the correct option

- Fixed cost / Contribution margin per unit
- Sales / Variable costs
- Total contribution margin/ Sales
- Sales / Contribution margin per unit

Question # 3 of 10 (Start time: 12:32:48 AM, 30 December 2025)

What will be NPV of a project if PV of cash inflows is Rs. 550,000 and initial investment is Rs. 600,000?

Select the correct option

- (●) Rs. 50,000
- ( ) Rs. 1,150,000
- ( ) Rs. 600,000
- ( ) Rs. 550,000

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MGT201 - Financial Management (Quiz 2)

Question # 4 of 10 (Start time: 12:33:17 AM, 30 December 2025)

All are the techniques of capital budgeting EXCEPT:

Select the correct option

- (●) Net profitability value
- ( ) Payback period
- ( ) Internal Rate of return
- ( ) Profitability index

Question # 5 of 10 (Start time: 12:33:38 AM, 30 December 2025)

Which of the following reflects the variability in portfolios return due to change in market return?

Select the correct option

- ○ Standard deviation
- ○ Unsystematic risk
- ○ Coefficient of variation
- ◉ Systematic risk

Click to

Question # 6 of 10 (Start time: 12:34:00 AM, 30 December 2025)

Which of the following statement is TRUE in regards to hedging approach to financing working capital?

Select the correct option

- Financing the short term needs of the business through long term debt
- Financing the short term needs of the business through short term debt
- Financing the seasonal needs of the business through long term debt
- Financing the long term needs of the business through short term debt

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MGT201 - Financial Management (Quiz 2)

Question # 7 of 10 (Start time: 12:34:33 AM, 30 December 2025)

Which of the following capital budgeting technique use "Interpolation method"?

Select the correct option

- (●) Internal Rate of return
- ( ) Profitability Index
- ( ) Payback period
- ( ) Profitability Index

MG1201 - Financial Management (Quiz 2)

Question # 8 of 10 (Start time: 12:35:01 AM, 30 December 2025)

The beta of the risk free asset is:

Select the correct option

- -1.00
- 0.50
- 0.00
- 1.00

MGT201 - Financial Management (Quiz 2)

Question # 9 of 10 (Start time: 12:35:20 AM, 30 December 2025)

All are the examples of non-cash items EXCEPT:

Select the correct option

- (●) Financial charges
- ( ) Bad debts
- ( ) Depreciation
- ( ) Amortization

Question # 10 of 10 (Start time: 12:35:39 AM, 30 December 2025)

Which of the following statement is TRUE in regards to conservative approach to financing working capital?

Select the correct option

- Financing the seasonal needs of the business through equity
- Financing the short term needs of the business through short term debt
- Financing the long term needs of the business through short term debt
- (●) Financing the short term needs of the business through long term debt

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Question # 10 of 10 (Start time: 12:35:39 AM, 30 December 2025)

Which of the following statement is TRUE in regards to conservative approach to financing working capital?

Select the correct option

- Financing the seasonal needs of the business through equity
- Financing the short term needs of the business through short term debt
- Financing the long term needs of the business through short term debt
- (●) Financing the short term needs of the business through long term debt

Click

MGT201 - Financial Management (Quiz 2)

Question # 1 of 10 (Start time: 12:13:31 AM, 30 December 2025)

The beta of the risk free asset is:

Select the correct option

- 1.00
- 0.00
- -1.00
- 0.50

MGT201 - Financial Management (Quiz 2)

Question # 2 of 10 (Start time: 12:13:53 AM, 30 December 2025)

The ratio of standard deviation (SD) to mean of the distribution is known as:

Select the correct option

- ○ Covariance
- ◉ Coefficient of variation
- ○ None of the above given options
- ○ Correlation

MGT201 - Financial Management (Quiz 2)

Question # 3 of 10 (Start time: 12:14:13 AM, 30 December 2025)

Generally, gross working capital is defined as:

Select the correct option

- (●) Current assets
- ( ) Current assets minus current liabilities
- ( ) Total assets
- ( ) Current liabilities

MGT201 - Financial Management (Quiz 2)

Question # 4 of 10 (Start time: 12:14:46 AM, 30 December 2025)

All are the techniques of capital budgeting EXCEPT:

Select the correct option

- ○ Payback period
- ◉ Net profitability value
- ○ Internal Rate of return
- ○ Profitability index

MGT201 - Financial Management (Quiz 2)

Question # 5 of 10 (Start time: 12:15:08 AM, 30 December 2025)

Which of the following statement is TRUE, if contribution margin is positive?

Select the correct option

- ○ Profit will only occur if the contribution margin is less than the fixed expenses
- ◉ Both profit and loss can occur
- ○ Loss will occur if the contribution margin is higher than fixed expenses
- ○ Profit will occur

MGT201 - Financial Management (Quiz 2)

Question # 6 of 10 (Start time: 12:15:27 AM, 30 December 2025)

Which of the following risks best explains portfolio returns?

Select the correct option

- (●) Systematic risk
- ( ) Economic factors
- ( ) Diversification
- ( ) Specific risk

MGT201 - Financial Management (Quiz 2)

Question # 7 of 10 (Start time: 12:15:47 AM, 30 December 2025)

Market risk is also known as:

Select the correct option

- Systematic risk
- Unavoidable risk
- All of the above given options
- Volatility risk

MGT201 - Financial Management (Quiz 2)

Question # 8 of 10 (Start time: 12:16:05 AM, 30 December 2025)

All are the examples of non-cash items EXCEPT:

Select the correct option

- (●) Financial charges
- ( ) Amortization
- ( ) Bad debts
- ( ) Depreciation

MGT201 - Financial Management (Quiz 2)

Question # 9 of 10 (Start time: 12:16:27 AM, 30 December 2025)

Which of the followings is true with respect to straight line method of depreciation?

Select the correct option

- (●) Depreciation expense remains constant every year
- ( ) Depreciation expense increases every year
- ( ) None of the given options
- ( ) Depreciation expense decreases every year

MGT201 - Financial Management (Quiz 2)

Question # 10 of 10 (Start time: 12:17:02 AM, 30 December 2025)

The time period between ordering and receiving inventory order is known as:

Select the correct option

- Carrying time
- All of the given options
- Over time
- Lead time